Working notes:

(i) Profit sharing ratio

Profit sharing ratio = Capital ratio = 30,000: 30,000: 20,000 that is, 3:3:2

Gaining ratio between Ramesh and Ravi = Old profit sharing ratio = 3:3 that is 1:1

(ii) Calculation of Akash's share of current year's profit

$$\text{Average profit} = \frac{66,000 + 60,000 + 66,000}{3} = \frac{1,92,000}{3} = ₹\ 64,000$$

Current year's profit upto the date of death = 64,000 × 3/12 = ₹ 16,000

Akash's share of current year's profit = 16,000 × 2/8 = ₹ 4,000

(iii) Akash's share of goodwill = 24,000 × 2/8 = ₹ 6,000

It is to be borne by Ramesh and Ravi in the gaining ratio of 1:1

Points to remember

- On retirement of a partner, existing agreement comes to an end. The firm is reconstituted and other partners continue the partnership firm with a new agreement.
- The retiring partner is liable for all the acts which are carried out by the firm until the date of his retirement from the firm.
- At the time of retirement of a partner the accumulated profits and losses and reserves upto the date of retirement is to be distributed to all the partners in the old profit sharing ratio.
- When a partner retires from the partnership firm, the assets and liabilities are to be revalued and the profit or loss on revaluation is to be distributed to all the partners in the old profit sharing ratio.
- At the time of retirement of a partner, the continuing partners gain part of retiring partner's share of profit. Hence the retiring partner's share of goodwill is to be valued and adjusted through the capital accounts of the gaining partners.
- Gaining ratio is the proportion of the profit which is gained by the continuing partners. The share gained is new share minus old share.
- The amount due to the retiring partner may be settled by paying the entire amount due immediately in cash, or transfer the entire amount due to the loan account of the partner or by paying part of the amount immediately in cash and transferring the balance to the loan account of the partner.
- when a partner dies the amount due from the firm is paid to the executor or legal representative of the deceased partner.

12th-Accountancy-Unit-06.indd 214 1/4/2020 12:04:02 PM